

1.2.3 Business costs, revenues and profit	a) Definition and use of formulae to calculate: • total revenue • total costs • total fixed costs • total variable costs • average (total) costs • profit. b) Economies of scale: • definition of economies of scale • definition of internal economies of scale • types of internal economies of scale: ◦ purchasing (bulk buying) ◦ marketing ◦ technical ◦ financial ◦ managerial ◦ risk bearing. • definition of external economies of scale • types of external economies of scale: ◦ skilled labour ◦ infrastructure ◦ access to suppliers ◦ similar businesses in area. c) Diseconomies of scale: • definition of diseconomies of scale • types of diseconomies of scale: ◦ bureaucracy ◦ communication problems ◦ lack of control ◦ distance between top management and workers at bottom of the organisation • the use of long run average cost (LRAC) curve diagram, annotated to show internal economies of scale and diseconomies of scale and where the business will be most efficient.
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